

What Labour Law Is - The Foundation Track

Chapter F2.1 — From Zero: Why Labour Law Exists, the Vocabulary, How to Read a Labour Statute, and the ILO

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NOTE · HOW TO USE THIS DOCUMENT

This is the entry point to the largest knowledge block in the paper and the subject furthest from a banker's experience. It teaches no individual Act. Instead it does four things that make every later chapter easier: it explains WHY labour law exists as a separate branch of law at all, it builds the twelve definitions that every labour statute turns on - including the new uniform definition of wages with its 50 per cent rule, which is the most important single concept in the entire Code regime - it teaches the eight-part anatomy shared by every labour statute so that you can read a new Act without being taught it, and it covers the ILO. Do not skip to the Acts. A candidate who knows this chapter can learn any labour statute in an hour; a candidate who does not will be memorising section numbers forever.

This is the FOUNDATION layer. Provisions follow the bare Acts, the four Labour Codes and the Central Rules notified 8 May 2026. Where an old-Act figure and a Code figure differ, both are given as a pair. Items marked CONFIRM must be re-checked before the RT.

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0. How to Approach This Module

Labour law plus social security is the largest knowledge block in the paper. It is also the block where your banking background helps you least - and where the marks are most reliably earned.

PYQ CONNECTION · WHAT THE EVIDENCE SAYS ABOUT THIS BLOCK

PYQ-DERIVED. In the verified 2023 paper, labour law and industrial relations supplied about **12 questions**, and social security a further **6** - roughly **18 of 120**, or **45 marks**. It is the single largest knowledge block in the paper, ahead of accounting and ahead of history.

And the questions were **overwhelmingly about thresholds, numbers, time limits and authorities** - how many employees bring an Act into play, how many days' notice, which authority decides, what percentage. That is very good news for you, because those are learnable with certainty, unlike a vocabulary-in-context question where two options can both look right.

The strategic point: this is the block where effort converts into marks most reliably. It deserves the largest share of your study time, and this Foundation module is the longest in the manual for that reason.

STUDY SESSION · CHAPTER F2.1 - THE SIX SESSIONS

- 1 **Session 1** - Why labour law exists at all: the inequality of bargaining power (Section 1)
 - 2 **Session 2** - The twelve definitions everything turns on (Section 2)
 - 3 **Session 3 - The new uniform definition of "wages" and the 50 per cent rule** (Section 3). The most important single concept in the Code regime, and it decides how much provident fund an employer owes
 - 4 **Session 4** - The eight-part anatomy of a labour statute (Section 4). Learn this and you can read any Act unaided
 - 5 **Session 5** - The ILO: structure, conventions, and India's record (Section 5)
 - 6 **Session 6** - How Indian labour law grew, and the four Codes in outline (Section 6)
- Then **40 graded questions**. Budget **seven sessions**, about **three and a half days**.

1. Session 1 - Why Labour Law Exists ★★★★★

Start with the question nobody asks. An employment relationship is a contract. We already have contract law. So why does labour law need to exist separately?

1.1 The failure of freedom of contract

Ordinary contract law rests on an assumption: that the two parties meet as **equals**, each free to walk away, and that the bargain they strike is therefore fair. On that assumption the law's job is simply to enforce whatever they agreed.

Now test the assumption on an employment relationship.

	The employer	The worker
If no deal is struck	Loses one worker among many; hires another next week	Loses the means of subsistence for his family
Information	Knows the market rate, the law, the accounts	Often knows none of these
Ability to wait	Can wait	Cannot wait - has no reserves
Bargaining unit	One decision-maker	One individual among many, easily replaced

Why the parties to an employment contract are not equals

The parties are formally free and substantively unequal. A contract struck between them will reflect that inequality, and calling it "freely agreed" does not change what it is. This is the whole justification for labour law, and the Constitution says it in one phrase you already know - **Article 39(e)**, that citizens should not be "**forced by economic necessity**" into work unsuited to their strength.

WHY THIS EXISTS · THE THREE DEVICES LABOUR LAW USES TO CORRECT THE IMBALANCE

Every labour statute you will study is an application of one of three ideas. Once you see this, the whole subject organises itself.

- 1 Set a floor that cannot be bargained below.** Minimum wages, maximum hours, safety standards, leave, provident fund contributions. The parties may improve on the floor, never go beneath it. Statutes: **Minimum Wages, Payment of Wages, Factories, EPF, ESI, Gratuity, Maternity Benefit**
- 2 Let workers combine, so that they bargain collectively instead of individually.** One worker is replaceable; the whole workforce is not. Statutes: **Trade Unions Act 1926**, and the collective bargaining machinery of the **Industrial Disputes Act 1947**
- 3 Provide a State forum instead of leaving it to the courts.** Ordinary civil litigation is too slow and too expensive for a wage claim. So the law creates specialist authorities - conciliation officers, Labour Courts, Industrial Tribunals, the Authority under the Payment of Wages Act, and the **Section 7A** determination you will conduct

Ask which of the three a provision is doing, and you will remember it. A threshold or a rate is device one. A registration or recognition provision is device two. An authority or a tribunal is device three.

1.2 From contract to status

There is a phrase worth knowing because it captures the shift and sounds well in an interview: labour law moved the employment relationship **from contract to status**.

Under pure contract, your entitlements are whatever you negotiated. Under labour law, certain entitlements attach to you **because of what you are** - an employee, a woman worker, a person below eighteen, a person with a disability - regardless of what you signed. Your **status** confers rights the contract cannot remove.

FROM YOUR OWN WORLD · YOU HAVE SEEN THIS IN BANKING - IT IS THE CONSUMER PROTECTION LOGIC

A depositor and a bank sign a contract, but a great deal of the relationship is not negotiable. Interest calculation rules, fair practices codes, grievance redress timelines, KYC obligations, the ombudsman scheme - none of these are things the customer bargained for. They attach because the customer **is a customer** and the bank **is a bank**.

Nor can the bank contract out of them. A clause saying "the customer waives recourse to the Banking Ombudsman" would be worthless.

Labour law works identically, and for the same reason - an inequality between the parties that the law refuses to let the stronger side exploit. And the doctrine is the one you met in Chapter F1.3:

statutory and constitutional protections cannot be waived. When an employer shows you a letter in which workers "agreed" to no provident fund, that letter is legally worthless, and you should know exactly why.

CHECK YOURSELF · SESSION 1

- 1 What assumption does ordinary contract law make, and why does it fail in employment?
- 2 Give four respects in which employer and worker are unequal
- 3 Name the three devices labour law uses, and classify these under them: minimum wage, registration of a trade union, Labour Court, weekly hours limit, works committee
- 4 Explain "from contract to status" in two sentences
- 5 Why is an employee's written consent to forgo provident fund coverage worthless?

2. Session 2 - The Twelve Definitions Everything Turns On ★★★★★

Labour law is a definitional subject. Almost every question is decided by whether a person or a place falls inside a defined term. Learn the definitions and you have learned the subject.

2.1 Why definitions decide cases

An Act applies to an "establishment" employing so many "workers" and requires payment of "wages". If the place is not an establishment, or the person is not a worker, or the payment is not wages, the Act simply does not apply. Nothing else in the statute matters.

That is why the exam concentrates here, and it is why your **Section 7A** inquiries will turn on definitions far more often than on principles.

2.2 Employer and employee

- 1 **Employer** - broadly, the person who has ultimate control over the affairs of the establishment, and includes the **occupier** or **manager** of a factory, and any person named as such. Note that the definition is drawn widely on purpose, so that liability cannot be escaped by interposing an intermediary
- 2 **Employee** - a person employed on **wages** to do any skilled, semi-skilled, unskilled, manual, operational, supervisory, managerial, administrative, technical or clerical work. Note how wide this is - it **includes managerial and supervisory** staff

2.3 The distinction that catches every beginner - "employee" versus "workman" or "worker"

MUST MASTER · EMPLOYEE IS WIDE. WORKER IS NARROWER. GET THIS RIGHT OR YOU WILL MISREAD EVERY ACT

This single distinction explains why the same person can be covered by one Act and not another.

"Employee" - used in the **social security** statutes, and it is **wide**. It includes managerial, administrative and supervisory staff. So a manager **is** an employee for **EPF** and **ESI** purposes (subject to the wage ceiling), and gratuity and maternity benefit likewise turn on employment, not on rank.

"Worker", and its older cousin **"workman"** under the Industrial Disputes Act 1947 - used in the **industrial relations** statutes, and it is **narrower**. It **excludes**:

- 1 a person employed in a **managerial or administrative** capacity
- 2 a person employed in a **supervisory** capacity drawing wages **above a prescribed threshold** - under the **IR Code 2020** that threshold is **Rs 18,000 per month** or as notified
- 3 persons subject to the **Air Force Act, Army Act or Navy Act**, and those in police service or as prison officers

Why the difference is logical, not arbitrary. Social security asks "does this person need protection against old age, sickness and death?" - and a manager does. Industrial relations asks "is this person on the labour side of a collective bargaining relationship?" - and a manager is on the other side of the table. Different question, different definition.

The exam consequence: if a question concerns **EPF, ESI, gratuity or maternity benefit**, think **employee** and do not exclude managers. If it concerns **industrial disputes, strikes, retrenchment or trade unions**, think **worker** and do exclude them.

The 2020 widening: the Codes' "worker" expressly **includes working journalists and sales promotion employees**, bringing in groups previously covered by separate statutes.

2.4 The remaining core definitions

Term	What it means, and the trap
Industry	Any systematic activity carried on by co-operation between employer and worker for the production, supply or distribution of goods or services. The leading case is Bangalore Water Supply and Sewerage Board v A. Rajappa (1978) , which laid down a triple test - systematic activity, co-operation between employer and employee, and production or distribution of goods or services satisfying human wants. It held the concept to be very wide , covering hospitals, universities and even some charitable and government undertakings, while excluding sovereign functions and purely domestic service
Industrial dispute	Any dispute or difference between employer and employer, employer and worker, or worker and worker , connected with employment, non-employment, terms of employment or conditions of labour. Note it covers all three pairings
Establishment	A place where any industry, trade, business, manufacture or occupation is carried on. Wider than "factory" - it takes in offices, shops and services
Factory	Under the Factories Act 1948 : premises where 10 or more workers work with the aid of power , or 20 or more without power, and a manufacturing process is carried on. Under the OSH Code 2020 the thresholds were raised to 20 with power and 40 without
Appropriate Government	Decides who administers the Act and which authority hears a dispute. Central Government for railways, mines, oilfields, major ports, banking and insurance companies, and central public sector undertakings; State Government for everything else. Get this wrong and you file before the wrong forum
Wages	The most important definition in the Code regime, and the whole of Session 3 is devoted to it
Contract labour	A worker hired in or for an establishment through a contractor , with or without the knowledge of the principal employer
Principal employer	In relation to contract labour, the owner or occupier of the establishment for which the work is done - and the person on whom secondary liability falls if the contractor defaults
Inspector-cum-Facilitator	The new designation under the Codes replacing the old "Inspector". The change of name signals a change of role - advice and facilitation of compliance alongside enforcement, with web-based, randomised inspections
Fixed-term employment	New under the Codes. Employment for a fixed duration by written contract, with the same statutory benefits as a permanent worker on a pro-rata basis, and gratuity after one year rather than five. No retrenchment compensation is payable on mere expiry of the term
Aggregator and gig worker	New under the Social Security Code 2020. A gig worker performs work outside a traditional employer-employee relationship; a platform worker works through an online platform; an aggregator is a digital intermediary connecting buyer and seller. Aggregators contribute 1 to 2 per cent of turnover , capped at 5 per cent of payments to such workers

The definitions to learn now - each is examined directly

COMMON UPSC TRAP · THE TWO THRESHOLD PAIRS MOST OFTEN CONFUSED

- Factory** - old **10 with power / 20 without**; Code **20 with power / 40 without**. The Code doubled both
- EPF coverage** - **20 or more**, and **50 or more** for a co-operative society working without the aid of power. Asked in 2023

Keep them separate. A place can be an "establishment" for EPF and not a "factory" at all.

CHECK YOURSELF · SESSION 2

- 1 Distinguish "employee" from "worker" and say which statutes use which. Is a manager an employee for EPF? Is he a worker for an industrial dispute?
- 2 What is the supervisory wage threshold in the definition of worker under the IR Code?
- 3 State the triple test from *Bangalore Water Supply*. Name two things included and two excluded
- 4 Give the three pairings covered by "industrial dispute"
- 5 Give the factory thresholds under the old Act and under the OSH Code
- 6 Name four categories for which the Central Government is the appropriate Government
- 7 What is fixed-term employment, and what is its most important consequence for gratuity?

3. Session 3 - The Definition of "Wages" and the 50 Per Cent Rule ★★★★★

This section is the most valuable in the module. It is new law, it is certain to be examined, and it is the provision you will spend your career enforcing.

3.1 The problem the new definition was written to solve

Under the old statutes, "wages" was defined differently in almost every Act - one definition in the Payment of Wages Act, another in the Minimum Wages Act, another for provident fund, another for gratuity, another for bonus.

Employers exploited the confusion in a simple way. Provident fund is payable on **basic wages plus dearness allowance**. So an employer would keep **basic wages artificially low** and pay the bulk of the salary as **allowances** - conveyance, special allowance, incentive, canteen, whatever it might be called. The employee's take-home stayed the same, but the amount on which provident fund, gratuity and bonus were calculated collapsed.

The result: an employee on Rs 40,000 a month might have had a "basic" of Rs 8,000, and provident fund was being paid on Rs 8,000.

MUST MASTER · THE UNIFORM DEFINITION OF WAGES - LEARN ITS THREE PARTS EXACTLY

All four Codes now use **one** definition. It has three parts, and you must be able to state each.

PART 1 - What wages INCLUDE. All remuneration by way of salary, allowances or otherwise, expressed in money or capable of being so expressed, and specifically:

- 1 **Basic pay**
- 2 **Dearness allowance**
- 3 **Retaining allowance**

PART 2 - What is EXCLUDED. Eleven items, of which the ones to remember are:

- 1 Any **bonus** not forming part of the terms of employment
- 2 **House rent allowance**
- 3 **Conveyance** allowance, and the value of travelling concession
- 4 **Overtime** allowance
- 5 **Commission**
- 6 **Employer's contribution** to a provident fund or pension, and the interest on it
- 7 Any **sum paid to defray special expenses** of the employment
- 8 **Remuneration payable under an award or settlement**
- 9 **Gratuity** payable on termination
- 10 **Retrenchment compensation**, or other retirement benefit or ex gratia payment

PART 3 - THE 50 PER CENT RULE, which is the whole point. If the total of all the **excluded** items exceeds **one-half** of the **total remuneration**, then the **amount by which it exceeds one-half shall be deemed to be wages**.

In other words: **excluded allowances may not exceed 50 per cent of total remuneration. Any excess is added back into wages.**

Two further rules to complete it:

- 1 **Remuneration in kind** whose value does not exceed **15 per cent** of total wages payable is to be **included** as part of wages
- 2 For **equal-pay purposes**, "wages" includes house rent allowance and conveyance - the exclusions do not apply to defeat equal remuneration

WORKED EXAMPLE · THE 50 PER CENT RULE WORKED TWICE - THIS IS EXACTLY WHAT YOU WILL DO AS AN APFC**Case A - a structure designed to avoid liability.**

An employee's monthly remuneration is **Rs 50,000**, structured as:

- 1 Basic pay **Rs 15,000**
- 2 Dearness allowance **Rs 5,000**
- 3 House rent allowance **Rs 20,000**
- 4 Conveyance allowance **Rs 10,000**

Step 1. **Total remuneration = Rs 50,000.**

Step 2. **Included items** (basic + DA) = 15,000 + 5,000 = **Rs 20,000.**

Step 3. **Excluded items** (HRA + conveyance) = 20,000 + 10,000 = **Rs 30,000.**

Step 4. **One-half of total remuneration** = 50,000 / 2 = **Rs 25,000.**

Step 5. Excluded items of **Rs 30,000 exceed Rs 25,000** by **Rs 5,000**. That excess is **deemed to be wages.**

Step 6. **Wages = 20,000 + 5,000 = Rs 25,000.**

Notice what the rule achieves: **wages can never fall below 50 per cent of total remuneration.**

The employer who tried to make wages 40 per cent finds them lifted back to 50 per cent.

Case B - a compliant structure.

Total remuneration **Rs 50,000**, with basic **Rs 30,000**, DA **Rs 2,000**, HRA **Rs 12,000**, conveyance **Rs 6,000.**

Included = **Rs 32,000**. Excluded = **Rs 18,000**. Half of total = **Rs 25,000**. Excluded of 18,000 does **not** exceed 25,000, so **nothing is added back. Wages = Rs 32,000** - the actual basic plus DA.

The shortcut for the exam. Compute the excluded items as a share of total remuneration. If they are **50 per cent or less**, wages are simply basic plus DA plus retaining allowance. If they are **more than 50 per cent**, wages are exactly **50 per cent of total remuneration**. In Case A, 50 per cent of 50,000 is 25,000 - which is the answer we reached the long way.

WHY THIS EXISTS · WHY THIS ONE PROVISION CHANGES YOUR JOB MORE THAN ANY OTHER IN THE CODES

Every statutory liability you enforce is calculated **on wages**. Provident fund contributions, gratuity, bonus, maternity benefit, retrenchment compensation, leave encashment - all of them.

So a single uniform definition with a floor of 50 per cent does four things at once:

- 1 It **raises** provident fund and gratuity liability for employers who had loaded salaries with allowances
- 2 It **removes the argument** that a payment called "special allowance" is not wages - the name no longer matters, only the arithmetic
- 3 It makes your **Section 7A** determination a **computation** rather than a dispute about nomenclature. You total the remuneration, total the exclusions, apply the 50 per cent test
- 4 It is the reason employers across the country have had to **restructure salaries**, and the reason this is the most litigated aspect of the Codes

In an interview, this is the single best answer to "what has changed under the Labour Codes?" Not the number of Codes - the definition of wages.

CHECK YOURSELF · SESSION 3

- 1 State the three items that wages **include**
- 2 Name six of the eleven **excluded** items
- 3 State the 50 per cent rule in one sentence
- 4 An employee earns Rs 60,000 - basic 18,000, DA 2,000, HRA 25,000, conveyance 15,000. Compute wages
- 5 What is the rule for remuneration **in kind**?
- 6 Why does this definition raise provident fund liability, and why does the name of an allowance no longer matter?

4. Session 4 - The Eight-Part Anatomy of a Labour Statute ★★★★★

There are dozens of labour statutes and you cannot be taught each one from scratch. But they share a skeleton. Learn the skeleton and you can read any of them unaided - which is what a from-scratch candidate most needs.

4.1 The skeleton

Part	What it is	What to extract from it, and why it is examined
1	Preamble and short title	The purpose - "an Act to provide for..." Tells you which Directive Principle it implements and how a court will read ambiguity
2	Extent and commencement	Where it applies and from when . Remember the passed-versus-in-force distinction. Almost always "the whole of India"
3	Definitions	Usually section 2 . The heart of the Act. Who is an employee, what are wages, what is an establishment
4	Applicability threshold	The number that brings the Act into play - 10, 20, 50, 100, 300. The most heavily examined single feature of any labour statute. Also look for a voluntary coverage clause and a once-covered-always-covered clause
5	Substantive obligations	What the employer must do - pay a rate, contribute a percentage, provide a facility, maintain a register, obtain a licence, give notice
6	Authorities and procedure	Who decides disputes, in what order, with what powers, and the appeal route and limitation period . The second most examined feature
7	Offences and penalties	Fines, imprisonment, who may prosecute, and compounding
8	Schedules	Lists too long for the body - scheduled employments, notifiable diseases, permitted deductions

Every labour statute has these eight parts, almost always in this order

MUST MASTER · THE FIVE QUESTIONS TO ASK OF EVERY ACT - YOUR READING CHECKLIST

When you open any labour statute in this module, extract these five things and nothing else on the first pass. Everything else is detail you can add later.

- 1 **What is the applicability threshold?** The number of employees, and whether power is used
- 2 **What is the money?** The rate, percentage, ceiling or amount
- 3 **What is the time limit?** For payment, for notice, for a claim, for an appeal
- 4 **Who is the authority?** And what is the appeal chain above it
- 5 **What is the penalty?**

Write those five for every Act on one line each, and you will have a revision sheet that answers most of the 18 questions this block produces. This is precisely how the Compact layer's Master Numbers Tables were built.

WORKED EXAMPLE · THE CHECKLIST APPLIED TO AN ACT YOU ALREADY HALF-KNOW

Take the **EPF & MP Act, 1952**, which is your own statute, and run the checklist.

- 1 **Threshold** - **20 or more** employees; **50 or more** for a co-operative society working without power; **voluntary** coverage under section **1(4)**; **once covered, always covered** under section **1(5)**
- 2 **Money** - employee **12 per cent**; employer **12 per cent**, split as **8.33 per cent to EPS and 3.67 per cent to EPF**; **EDLI 0.50 per cent**; administrative charges **0.50 per cent**; wage ceiling **Rs 15,000**; reduced rate **10 per cent** for specified establishments; Central Government **1.16 per cent** to EPS
- 3 **Time limits** - contribution return due by the **15th** of the following month; appeal to the Tribunal **60 days**, extendable by a further **60**
- 4 **Authority** - the **APFC or higher officer** determines dues under section **7A**; **7B** review; **7C** escaped amount; appeal under **7-I** to the **CGIT acting as the EPF Appellate Tribunal**; then the **High Court under Article 226**
- 5 **Penalty** - interest under **7Q** at **12 per cent**; damages under **14B**; recovery under **8** and **8F**; protection from attachment under **10**

You have just summarised an entire Act in five lines, and every one of those figures is examinable. Do this for each Act as we come to it.

CHECK YOURSELF · SESSION 4

- 1 Name the eight parts of a labour statute in order
- 2 Which section usually carries the definitions?
- 3 Which two parts are the most heavily examined, and why?
- 4 State the five questions of the reading checklist
- 5 Apply the checklist to the EPF & MP Act from memory

5. Session 5 - The International Labour Organization ★★★★★

The ILO produces questions in almost every paper, and in 2023 it produced one directly - which core convention India has not ratified.

5.1 What the ILO is, and the one feature that makes it unique

- 1 Founded in **1919** by the **Treaty of Versailles**, as **Part XIII** of that Treaty - so it emerged from the First World War peace settlement, on the premise that "**universal and lasting peace can be established only if it is based upon social justice**"
- 2 **India is a founder member**
- 3 Headquarters: **Geneva**, Switzerland
- 4 It became the **first specialised agency of the United Nations** in **1946**
- 5 Awarded the **Nobel Peace Prize** in **1969**, on its fiftieth anniversary
- 6 The **Declaration of Philadelphia, 1944** restated its aims, famously declaring that "**labour is not a commodity**"

MUST MASTER · TRIPARTISM - THE ILO'S DEFINING FEATURE, AND THE 2:1:1 RATIO

The ILO is the **only** organisation in the United Nations system with a **tripartite** structure. Every member State is represented not only by its government but also by its employers and its workers, each with an independent voice and vote.

The ratio is **2 : 1 : 1** - **two government** delegates, **one employers'** delegate and **one workers'** delegate.

Why it matters: the employers' and workers' delegates may vote **against** their own government. Social dialogue is built into the constitution of the organisation rather than left to goodwill. If you are asked what distinguishes the ILO from every other UN body, the answer is **tripartism**, and the ratio is the proof.

5.2 The three organs

Organ	What it is	Key facts
International Labour Conference	The general assembly	Meets annually , in June , at Geneva . Adopts Conventions and Recommendations , adopts the budget, and admits members. Delegations are 2:1:1
Governing Body	The executive council	56 titular members - 28 government , 14 employers , 14 workers . Ten government seats are permanently held by States of chief industrial importance , and India is one of them . Elects the Director-General and sets the Conference agenda
International Labour Office	The permanent secretariat	Headed by the Director-General , based at Geneva. Research, publications and technical assistance

5.3 Conventions and Recommendations - the distinction that is always asked

JARGON DECODER · CONVENTION VERSUS RECOMMENDATION

- 1 A **Convention** is an international **treaty**. It is open to **ratification**, and once a member State ratifies it, the State is **legally bound** and must report on implementation
- 2 A **Recommendation** is **non-binding guidance**. It is **not open to ratification** and creates no legal obligation. It supplements a Convention or stands alone as good practice

A Convention that a State has not ratified does not bind that State. This is the key to India's position on Conventions 87 and 98 below.

Also note: a **Protocol** revises part of an existing Convention and is itself open to ratification.

5.4 The fundamental Conventions, and India's record

The **1998 Declaration on Fundamental Principles and Rights at Work** identified **four** categories of principle, covered by **eight core Conventions**. Every member State is expected to respect these **whether or not** it has ratified them.

Category	Conventions	India
Freedom of association and collective bargaining	C87 (1948) Freedom of Association · C98 (1949) Right to Organise and Collective Bargaining	NOT RATIFIED - both
Elimination of forced labour	C29 (1930) Forced Labour · C105 (1957) Abolition of Forced Labour	Ratified
Elimination of discrimination	C100 (1951) Equal Remuneration · C111 (1958) Discrimination (Employment and Occupation)	Ratified
Abolition of child labour	C138 (1973) Minimum Age · C182 (1999) Worst Forms of Child Labour	Ratified - both in 2017

The eight core Conventions - and India's ratification status

MUST MASTER · INDIA HAS RATIFIED 6 OF THE 8 CORE CONVENTIONS - AND THE TWO EXCEPTIONS ARE THE EXAM QUESTION

India has **NOT** ratified **Convention 87** or **Convention 98** - the two on **freedom of association** and **the right to organise and bargain collectively**. This was asked directly in the 2023 paper. **The reason, which you should be able to state neutrally:** ratification would require extending full freedom of association and collective bargaining rights to **government employees**, and Indian service conduct rules restrict the political and associational activity of public servants, including in relation to strikes. Successive governments have taken the position that ratification would require changes to those rules. India's stated view is that it respects the **principles** underlying the Conventions - as the 1998 Declaration requires of all members - without having ratified the instruments.

The mnemonic: the two India has NOT ratified are the two lowest-numbered pair on ASSOCIATION - 87 and 98. Both begin with the idea of workers combining. Everything on forced labour, discrimination and child labour is ratified.

KNOW · THE 2022 EXPANSION - FOUR CATEGORIES BECAME FIVE, EIGHT CONVENTIONS BECAME TEN

In **2022** the International Labour Conference added **occupational safety and health** as a **fifth** fundamental category, bringing in:

- 1 **C155** (1981) - Occupational Safety and Health Convention
- 2 **C187** (2006) - Promotional Framework for Occupational Safety and Health Convention

So the count is now **five categories and ten fundamental Conventions**. A question still keyed to "eight core conventions" is using the pre-2022 position; a question mentioning safety and health as fundamental is using the current one. **India's ratification status in respect of C155 and C187 is a CONFIRM item** - verify it before the RT rather than guessing.

KNOW · THE DECENT WORK AGENDA - FOUR PILLARS

Adopted in 1999, and the framework in which the ILO now describes all its work. The four pillars:

- 1 **Employment creation** and enterprise development
- 2 **Social protection** - which is where provident funds and social insurance sit
- 3 **Rights at work** - the fundamental principles above
- 4 **Social dialogue** - tripartism applied at national level

Two further points worth carrying. India has consistently **opposed** the inclusion of a "**social clause**" linking labour standards to trade agreements, on the ground that it would be used as **disguised protectionism** against developing countries. And **social protection** is the pillar under which the ILO's **nine contingencies** of social security fall - the framework you will meet at the start of Module 3.

CHECK YOURSELF · SESSION 5

- 1 When and by which treaty was the ILO founded? Is India a founder member? Where is it based?
- 2 What is tripartism and what is the ratio? Why is it unique?
- 3 Name the three organs, and give the composition of the Governing Body. What is India's special position on it?
- 4 Distinguish a Convention from a Recommendation
- 5 Name the four 1998 categories and the eight core Conventions with numbers
- 6 Which two has India **not** ratified, and what reason is given?
- 7 What changed in 2022?

6. Session 6 - How Indian Labour Law Grew, and the Four Codes ★★★★★

6.1 The chain, taught as causes

- 1 **Factories Act, 1881** - the first Indian labour statute, prompted partly by British textile interests seeking to limit Indian competitive advantage, and partly by genuine concern about child labour
- 2 **1884** - the **Bombay Mill Hands Association** under **N. M. Lokhande**, the first labour **association** in India, though not a union in the modern sense
- 3 **1918** - the **Madras Labour Union** under **B. P. Wadia**, generally regarded as the first modern **trade union** in India
- 4 **1919** - the **ILO** is founded and India becomes a founder member, which begins the external pressure for domestic labour legislation
- 5 **1920** - the **All India Trade Union Congress (AITUC)** is founded, with **Lala Lajpat Rai** as its first president
- 6 **1923** - the **Workmen's Compensation Act**, now the **Employees' Compensation Act**
- 7 **1926** - the **Trade Unions Act**, giving unions legal recognition and immunity
- 8 **1929 to 1931** - the **Royal Commission on Labour**, the **Whitley Commission**, whose recommendations shaped much later legislation
- 9 **1931** - the **Karachi Resolution** of the Congress commits the national movement to a labour programme, which becomes **Articles 39 to 43**
- 10 **1946 to 1952** - the great post-war wave: **Industrial Employment (Standing Orders) Act 1946, Industrial Disputes Act 1947, Factories Act 1948, Minimum Wages Act 1948, ESI Act 1948, EPF Act 1952, Mines Act 1952**

MEMORY TECHNIQUE · ASSOCIATION, UNION, CONGRESS - THREE FIRSTS IN ORDER

- 1 **1884 Bombay Mill Hands Association** - Lokhande - first **ASSOCIATION**
- 2 **1918 Madras Labour Union** - B. P. Wadia - first **UNION**
- 3 **1920 AITUC** - Lajpat Rai - first **federation or CONGRESS**

Alphabetical by type and chronological at the same time: **Association, Union, Congress** - 1884, 1918, 1920.

6.2 The four Codes - the outline you need before the detailed chapters

MUST MASTER · THE REGIME CHANGE - AND THE 4-3-9-13 COUNT

29 central labour Acts have been consolidated into **four Codes**. The Codes came into force on **21 November 2025**, with final Central Rules notified on **8 May 2026**.

Your 2026 paper is the first APFC paper sat under a fully operating Code regime. The 2023 paper, and the 2025 paper sat nine days after commencement, were both effectively set on the parent Acts.

Code	Acts	What it covers
Code on Wages, 2019	4	Minimum wages, payment of wages, bonus, equal remuneration
Industrial Relations Code, 2020	3	Trade unions, standing orders, industrial disputes
Code on Social Security, 2020	9	EPF, ESI, gratuity, maternity benefit, employees' compensation, cess, unorganised workers - your Code
Occupational Safety, Health and Working Conditions Code, 2020	13	Factories, mines, dock work, construction, contract labour, inter-state migrants, plantations and more

Learn the count as 4 - 3 - 9 - 13, totalling 29. It is the single most likely Code question, and the order is by ascending number of Acts, which makes it easy to hold.

NOTE · HOW THIS MODULE WILL TEACH THE CODES - AND WHY

Every remaining chapter of Module 2 gives you **both** numbers: the **parent Act** provision and the **Code** provision, as a pair.

Why not just teach the Codes? Three reasons. The **PYQ evidence** is drawn from papers set under the old Acts, so the old numbers are what past questions test. A **2026 paper may test either**, and examiners often reuse question banks. And the Codes **substantially reproduce** most old provisions, so learning the pair costs little more than learning one.

Where a threshold changed, that change is itself the most likely question. Factory 10 and 20 becoming 20 and 40; standing orders at 100 becoming 300; retrenchment permission at 100 becoming 300. Learn those as **before-and-after pairs**, and you are covered whichever regime the paper assumes.

CHECK YOURSELF · SESSION 6

- 1 Name India's first labour statute and its year
- 2 Give the three firsts - association, union, federation - with years and leaders
- 3 What was the Whitley Commission, and when did it report?
- 4 Name the 4-3-9-13 counts and the Code each belongs to
- 5 When did the Codes come into force, and when were the final Central Rules notified?
- 6 Which Code governs provident fund, and how many Acts did it replace?

7. Graded Practice - 40 Questions ★★★★★

7.1 Level 1 - Recognition

Q. 1. The ILO was established in

(a) 1909 (b) 1919 (c) 1946 (d) 1948

Q. 2. The ILO was created by

(a) the Charter of the United Nations (b) the Treaty of Versailles (c) the Declaration of Philadelphia (d) the Atlantic Charter

Q. 3. The headquarters of the ILO is at

(a) New York (b) Vienna (c) Geneva (d) Paris

Q. 4. The tripartite ratio of representation at the International Labour Conference is

(a) 1:1:1 (b) 2:1:1 (c) 2:2:1 (d) 3:1:1

Q. 5. The Governing Body of the ILO consists of

(a) 48 members (b) 56 members (c) 60 members (d) 64 members

Q. 6. The ILO was awarded the Nobel Peace Prize in

(a) 1946 (b) 1959 (c) 1969 (d) 1979

Q. 7. How many central labour Acts have been consolidated into the four Labour Codes?

(a) 24 (b) 27 (c) 29 (d) 44

Q. 8. The Code on Social Security, 2020 subsumes how many Acts?

(a) Four (b) Three (c) Nine (d) Thirteen

Q. 9. The first labour statute enacted in India was the

(a) Factories Act, 1881 (b) Trade Unions Act, 1926 (c) Workmen's Compensation Act, 1923 (d) Factories Act, 1948

Q. 10. The first modern trade union in India is generally regarded as the

(a) Bombay Mill Hands Association, 1884 (b) Madras Labour Union, 1918 (c) All India Trade Union Congress, 1920 (d) Ahmedabad Textile Labour Association, 1920

Q. 11. The first president of the All India Trade Union Congress was

(a) N. M. Lokhande (b) B. P. Wadia (c) Lala Lajpat Rai (d) V. V. Giri

Q. 12. Under the Factories Act, 1948, premises constitute a factory where the number of workers working with the aid of power is

(a) 10 or more (b) 20 or more (c) 30 or more (d) 40 or more

Q. 13. The four Labour Codes came into force on

(a) 29 September 2020 (b) 1 April 2021 (c) 21 November 2025 (d) 8 May 2026

Q. 14. Under the new uniform definition, wages include

(a) basic pay, house rent allowance and conveyance allowance (b) basic pay, dearness allowance and retaining allowance (c) basic pay and overtime only (d) all remuneration without exception

Q. 15. The new designation replacing "Inspector" under the Labour Codes is

- (a) Facilitating Officer (b) Inspector-cum-Facilitator (c) Compliance Officer (d) Labour Commissioner

7.2 Level 2 - Understanding**Q. 16. Labour law exists as a separate branch of law principally because**

- (a) contracts of employment are always in writing (b) the parties to an employment contract are formally free but substantively unequal in bargaining power (c) employers are generally dishonest (d) the Constitution requires a separate branch

Q. 17. Which one of the following is not one of the three devices labour law uses to correct the bargaining imbalance?

- (a) Setting a statutory floor below which parties may not bargain (b) Permitting workers to combine and bargain collectively (c) Providing specialist State forums instead of ordinary civil litigation (d) Requiring all employment contracts to be registered with the Reserve Bank

Q. 18. A person employed in a managerial capacity is

- (a) neither an employee nor a worker for any purpose (b) an employee for social security statutes but not a worker for industrial relations statutes (c) a worker but not an employee (d) both an employee and a worker in all cases

Q. 19. Under the Industrial Relations Code, 2020, a person in a supervisory capacity is excluded from the definition of "worker" if drawing monthly wages exceeding

- (a) Rs 10,000 (b) Rs 15,000 (c) Rs 18,000 (d) Rs 21,000

Q. 20. The triple test for "industry" was laid down in

- (a) *Bangalore Water Supply and Sewerage Board v A. Rajappa* (b) *Basheshar Nath v CIT* (c) *Indra Sawhney v Union of India* (d) *Ajay Hasia v Khalid Mujib*

Q. 21. An "industrial dispute" may arise between

- (a) employer and worker only (b) worker and worker only (c) employer and employer, employer and worker, or worker and worker (d) employer and government only

Q. 22. Under the Occupational Safety, Health and Working Conditions Code, 2020, the factory threshold where power is used is

- (a) 10 or more workers (b) 20 or more workers (c) 40 or more workers (d) 50 or more workers

Q. 23. For a banking company, the appropriate Government is

- (a) the State Government in all cases (b) the Central Government (c) whichever government the employer elects (d) the State Government, unless the bank is nationalised

Q. 24. Under the uniform definition of wages, if the excluded components exceed one-half of total remuneration, then

- (a) the entire remuneration is treated as wages (b) the excluded components are ignored entirely (c) the amount by which they exceed one-half is deemed to be wages (d) the employer must restructure the salary within 30 days

Q. 25. An employee's monthly remuneration is Rs 40,000, comprising basic Rs 12,000, dearness allowance Rs 3,000, house rent allowance Rs 15,000 and conveyance Rs 10,000. What are the wages?

- (a) Rs 15,000 (b) Rs 20,000 (c) Rs 25,000 (d) Rs 40,000

Q. 26. Remuneration in kind is included as part of wages to the extent that its value does not exceed

(a) 10 per cent of total wages (b) 15 per cent of total wages (c) 20 per cent of total wages (d) 25 per cent of total wages

Q. 27. A Convention of the ILO becomes binding on a member State

(a) as soon as the International Labour Conference adopts it (b) only upon ratification by that State (c) after five years from adoption (d) upon a resolution of the Governing Body

Q. 28. Which one of the following is a Recommendation's essential characteristic?

(a) It is open to ratification (b) It is legally binding on all members (c) It is non-binding guidance and not open to ratification (d) It overrides an inconsistent Convention

Q. 29. Fixed-term employment under the Labour Codes entitles a worker to gratuity after

(a) one year of service (b) three years of service (c) five years of service (d) no gratuity at all

Q. 30. Under the Code on Social Security, 2020, an aggregator's contribution in respect of gig and platform workers is

(a) 1 to 2 per cent of turnover, capped at 5 per cent of payments made to such workers (b) 5 per cent of turnover without cap (c) 12 per cent of wages (d) a fixed annual fee

7.3 Level 3 - Recruitment Test standard

Q. 31. Which one of the following core Conventions of the ILO has not been ratified by India?

(a) The Forced Labour Convention (No. 29) (b) The Equal Remuneration Convention (No. 100) (c) The Freedom of Association and Protection of the Right to Organise Convention (No. 87) (d) The Discrimination (Employment and Occupation) Convention (No. 111)

Q. 32. Consider the following statements about the ILO:

- 1 It is the only tripartite agency in the United Nations system.
- 2 Ten government seats on the Governing Body are permanently held by States of chief industrial importance, and India holds one of them.
- 3 The International Labour Conference meets once every two years.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 33. Match List-I with List-II and select the correct answer using the code below:

List-I (Code)	List-II (Number of Acts subsumed)
A. Code on Wages, 2019	1. Thirteen
B. Industrial Relations Code, 2020	2. Four
C. Code on Social Security, 2020	3. Three
D. OSH and Working Conditions Code, 2020	4. Nine

(a) A-2 B-3 C-4 D-1 (b) A-2 B-4 C-3 D-1 (c) A-3 B-2 C-4 D-1 (d) A-1 B-3 C-4 D-2

Q. 34. Which one of the following pairs is not correctly matched?

(a) Bombay Mill Hands Association, 1884 - N. M. Lokhande (b) Madras Labour Union, 1918 - B. P. Wadia (c) All India Trade Union Congress, 1920 - Lala Lajpat Rai (d) Royal Commission on Labour, 1929 - Sir Stafford Cripps

Q. 35. An employer keeps basic pay low and pays most of the salary as a "special allowance", contending that provident fund is not payable on the allowance. Under the Code regime, the correct position is that

(a) the contention is sound, since special allowance is excluded from wages (b) the nomenclature is irrelevant; if excluded components exceed half the total remuneration, the excess is deemed to be wages (c) the contention is sound only if the workers have consented in writing (d) provident fund is payable on the entire remuneration in every case

Q. 36. Consider the following statements:

- 1 A worker's written consent to receive less than the statutory minimum wage is a valid defence for the employer.
- 2 Payment below the minimum wage has been held to amount to forced labour under Article 23.

Which of the above statements is or are correct?

(a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

Q. 37. Which of the following statements about the 2022 development in ILO fundamental principles is correct?

(a) Occupational safety and health was added as a fifth category, bringing the number of fundamental Conventions to ten (b) Two categories were merged, reducing the number to three (c) The 1998 Declaration was withdrawn (d) Conventions 87 and 98 ceased to be fundamental

Q. 38. The most complete answer to "what is the single most significant change brought by the Labour Codes" is

(a) that there are now four Codes instead of many Acts (b) the introduction of a single uniform definition of wages with a floor of 50 per cent of total remuneration, which recalculates every wage-linked liability (c) the renaming of Inspectors as Inspectors-cum-Facilitators (d) the raising of the factory threshold

Q. 39. Arrange the following in correct chronological sequence:

- 1 Trade Unions Act
- 2 Factories Act (the first Indian one)
- 3 Workmen's Compensation Act
- 4 All India Trade Union Congress founded

(a) 2, 4, 3, 1 (b) 2, 3, 4, 1 (c) 4, 2, 3, 1 (d) 2, 4, 1, 3

Q. 40. Which one of the following statements is not correct?

(a) The Code on Social Security, 2020 subsumes nine Acts including the EPF & MP Act, 1952 (b) The Codes were brought into force on 21 November 2020 (c) Final Central Rules under the Codes were notified on 8 May 2021 (d) The Codes came into force immediately upon receiving the President's assent in 2020

8. Answers and Explanations

8.1 Level 1

Q	Ans	Explanation
1	b	1919 . It became the first UN specialised agency in 1946 - a common distractor
2	b	Treaty of Versailles , Part XIII. The Declaration of Philadelphia (1944) restated its aims but did not create it
3	c	Geneva
4	b	2:1:1 - two government, one employer, one worker
5	b	56 - 28 government, 14 employers, 14 workers
6	c	1969 , its fiftieth anniversary
7	c	29 - split 4, 3, 9, 13
8	c	Nine - and it is your Code, containing the EPF & MP Act 1952
9	a	Factories Act, 1881
10	b	Madras Labour Union, 1918 . The 1884 body was an association , not a union
11	c	Lala Lajpat Rai
12	a	10 or more with power under the 1948 Act; 20 or more without power. The OSH Code doubled both
13	c	21 November 2025 . The Codes were passed in 2019 and 2020 - passed is not in force
14	b	Basic pay, dearness allowance, retaining allowance . HRA and conveyance are excluded items
15	b	Inspector-cum-Facilitator

8.2 Level 2

Q	Ans	Explanation
16	b	Formal freedom, substantive inequality - which is why contract law alone produces unfair bargains. This is the premise of Article 39(e)
17	d	There is no such requirement. The three devices are the floor, collective bargaining, and specialist forums
18	b	Employee is wide, worker is narrow . Social security asks whether the person needs protection; industrial relations asks which side of the bargaining table he sits on
19	c	Rs 18,000 per month , or as notified
20	a	Bangalore Water Supply (1978) - systematic activity, employer-employee co-operation, production or distribution of goods or services
21	c	All three pairings - including worker and worker
22	b	20 or more with power under the OSH Code, up from 10; and 40 without power, up from 20
23	b	Central Government - banking and insurance companies, railways, mines, oilfields, major ports and central PSUs
24	c	Only the excess over one-half is added back. The practical effect is that wages can never be less than 50 per cent of total remuneration

Q	Ans	Explanation
25	b	Total 40,000. Included = 12,000 + 3,000 = 15,000 . Excluded = 15,000 + 10,000 = 25,000 . Half of total = 20,000 . Excess = 25,000 - 20,000 = 5,000 , added back. Wages = 15,000 + 5,000 = Rs 20,000 - which is exactly 50 per cent of total, as the shortcut predicts
26	b	15 per cent of total wages payable
27	b	Only upon ratification . This is why India is not bound by C87 and C98
28	c	Non-binding, not open to ratification
29	a	One year - a significant departure from the general five-year rule, and a likely question
30	a	1 to 2 per cent of turnover , capped at 5 per cent of the amounts paid to gig and platform workers

8.3 Level 3

Q	Ans	Explanation
31	c	C87 Freedom of Association - not ratified, along with C98 . Asked in this exact form in 2023. India has ratified 6 of the 8 core Conventions; the two exceptions both concern association
32	a	1 and 2 only . Statement 3 is wrong - the Conference meets annually , in June
33	a	A-2 Wages 4; B-3 IR 3; C-4 Social Security 9; D-1 OSH 13. The 4-3-9-13 sequence
34	d	The Royal Commission on Labour of 1929 is the Whitley Commission, chaired by J. H. Whitley , not Cripps. The other three pairs are correct
35	b	Nomenclature is irrelevant - the 50 per cent rule is arithmetical. This is the provision that ended the special-allowance device, and it converts the dispute into a computation
36	b	Only statement 2 . Consent is no defence - a statutory and constitutional protection cannot be waived, and the Asiad Workers case treats economic compulsion as negating voluntariness
37	a	Occupational safety and health became the fifth category , adding C155 and C187 , so ten fundamental Conventions
38	b	The uniform definition of wages with the 50 per cent floor . The count of Codes is presentational; the definition recalculates provident fund, gratuity, bonus and every other wage-linked liability
39	a	2, 4, 3, 1 - Factories Act 1881 , AITUC 1920 , Workmen's Compensation 1923 , Trade Unions 1926
40	d	The Codes did not come into force on assent. They were passed in 2019 and 2020 and brought into force on 21 November 2025 - the passed-versus-in-force distinction, and the most important date in this module

9. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F2.1 - READ BEFORE EVERY LABOUR LAW SESSION

WHY LABOUR LAW parties formally free, substantively **unequal** · **Art 39(e)** "not forced by economic necessity" · **THREE DEVICES**: a **floor** that cannot be bargained below · **collective bargaining** · **specialist forums** · shift **from contract to STATUS** · statutory protection **cannot be waived**

EMPLOYEE vs WORKER employee = **WIDE**, includes managerial and supervisory, used in **social security** Acts (EPF, ESI, gratuity, maternity) · **worker** = **NARROW**, excludes managerial and administrative, and supervisory above **Rs 18,000/month**, used in **industrial relations** Acts · Codes' worker **includes working journalists and sales promotion employees**

INDUSTRY *Bangalore Water Supply v A. Rajappa 1978* triple test - **systematic activity + employer-worker co-operation + production or distribution of goods or services** · very wide · excludes **sovereign functions** and domestic service

INDUSTRIAL DISPUTE employer-employer · employer-worker · **worker-worker** - all **three** pairings
FACTORY old **10 with power / 20 without** · **OSH Code 20 / 40** (doubled) · **EPF coverage 20**, co-operative society without power **50**

APPROPRIATE GOVERNMENT - CENTRAL railways · mines · oilfields · major ports · **banking and insurance companies** · central PSUs. Everything else **State**

WAGES - THE KEY DEFINITION INCLUDE basic pay + **dearness allowance** + retaining allowance · **EXCLUDE** bonus not in terms of employment, **HRA, conveyance, overtime, commission**, employer's PF/pension contribution, special expenses, award or settlement remuneration, **gratuity**, retrenchment compensation, ex gratia · **THE 50% RULE - if excluded items exceed HALF of total remuneration, the EXCESS is deemed to be wages** · so **wages can never be below 50% of total remuneration** · in kind up to **15%** included · for **equal pay**, HRA and conveyance ARE included

SHORTCUT excluded **50% or less** → wages = basic + DA + retaining · excluded **above 50%** → wages = **exactly 50% of total remuneration**

EIGHT-PART ANATOMY preamble · extent and commencement · **definitions (s.2)** · **applicability threshold** · substantive obligations · **authorities and appeal** · offences and penalties · schedules

FIVE-QUESTION CHECKLIST threshold · money · time limit · authority · penalty

ILO 1919, Treaty of Versailles Part XIII · India **founder member** · **Geneva** · first UN specialised agency **1946** · **Nobel Peace Prize 1969** · **Declaration of Philadelphia 1944** "labour is not a commodity" · **TRIPARTITE, unique in the UN system, ratio 2:1:1**

THREE ORGANS International Labour Conference - annual, **June**, Geneva · **Governing Body - 56 = 28 government + 14 employers + 14 workers, 10 permanent seats** for States of chief industrial importance, **India holds one** · **International Labour Office** - secretariat, Director-General

CONVENTION vs RECOMMENDATION Convention = **treaty**, binding **only on ratification** · Recommendation = **non-binding, not open to ratification**

CORE CONVENTIONS 1998 Declaration, **4 categories, 8 conventions** · **INDIA RATIFIED 6 OF 8** · **NOT C87 (1948) freedom of association, NOT C98 (1949) right to organise** - both about **association**, reason relates to restrictions on government servants · ratified **C29, C105** forced labour · **C100, C111** discrimination · **C138, C182** child labour, both in **2017** · **2022 added a FIFTH category, occupational safety and health - C155 and C187 - so TEN fundamental conventions** (India's status = **CONFIRM**)

DECENT WORK - FOUR PILLARS employment creation · **social protection** · rights at work · **social dialogue** · India **opposes a social clause** in trade as disguised protectionism

THREE FIRSTS 1884 **Bombay Mill Hands ASSOCIATION** - Lokhande · 1918 **Madras Labour UNION** - B. P. Wadia · 1920 **AITUC** - Lajpat Rai · 1881 **Factories Act** first statute · **1929-31 Whitley Commission** · 1931 **Karachi Resolution**

THE CODES - 4 / 3 / 9 / 13 = 29 Wages 4 · IR 3 · Social Security 9 · OSH 13 · passed **2019-2020**, **IN FORCE 21 NOV 2025**, final Central Rules **8 MAY 2026** · **Inspector-cum-Facilitator** · **fixed-term employment - gratuity after 1 year** · **aggregators 1-2% of turnover, capped at 5% of payments**

10. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F2.1 - THE SHEET THAT MAKES EVERY LATER CHAPTER READABLE

THREE DEVICES floor · collective bargaining · specialist forum

EMPLOYEE = WIDE (social security) · WORKER = NARROW (industrial relations) · supervisory cut-off **Rs 18,000**

WAGES = basic + DA + retaining · EXCLUDED items may not exceed 50% of total remuneration; the excess is added back · so wages $\geq$ 50% of total remuneration, always

THE SHORTCUT excluded $>$ half $\rightarrow$ **wages = half of total remuneration**

FACTORY 10/20 old · 20/40 Code · EPF 20 · co-op without power 50

CHECKLIST FOR EVERY ACT threshold · money · time · authority · penalty

ILO 1919 · Versailles · Geneva · founder member · Nobel 1969 · TRIPARTITE 2:1:1

GOVERNING BODY 56 = 28 + 14 + 14 · 10 permanent industrial seats, India one

INDIA HAS NOT RATIFIED C87 AND C98 - the two on **ASSOCIATION** · 6 of 8 · **2022 $\rightarrow$ 5 categories, 10 conventions**

4-3-9-13 = 29 ACTS · IN FORCE 21 NOV 2025 · RULES 8 MAY 2026

FIRSTS 1881 Act · 1884 Association · 1918 Union · 1920 AITUC · 1931 Karachi

THE INTERVIEW ANSWER ON THE CODES the significant change is not that there are four Codes - it is the **single uniform definition of wages with a 50 per cent floor**, which recalculates **provident fund, gratuity, bonus and every wage-linked liability**, and converts a nomenclature dispute into an **arithmetical determination** under Section 7A

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F2.2 - The Trade Unions Act, 1926 and the Industrial Relations Code. You now have the vocabulary, the wages definition and the reading checklist, so from here each chapter is one statute run through the five questions - **threshold, money, time, authority, penalty.**